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Case Number: 24STCV30256 Hearing Date: September 22, 2026 Dept: 414

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Espinoza v. Target Corporation, et al.

Tuesday,

September 22, 2026

[TENTATIVE]

ORDER GRANTING

IN PART AND DENYING IN PART MOTION FOR JUDGMENT ON THE PLEADING BY DEFENDANTS,
WATERMARK SECURITY GROUP, INC.; JAMES MCBRIDE; AND ADRIAN MOODY, TO
PLAINTIFF'S COMPLAINT (RES. NO. 7358)

I.

BACKGROUND

The operative pleading is the first amended complaint filed on September 17, 2025, wherein Plaintiff, brings claims against Defendants as a consumer of services and products of Defendant Target Corporation ("Target") who contracted with Plaintiff's employee, Watermark Security Group, Inc. ("Watermark"). Plaintiff alleges he suffered injury on November 15, 2022, while providing security services at Target. A homeless man, David Franklin, attacked two customers with a butcher knife before being shot by the security guard ("the Franklin assault.")

Watermark allegedly discriminated and retaliated against Plaintiff and ultimately terminated Plaintiff's employment. Defendant, Adrian Moody, was Watermark's manager, while Defendant, James McBride, owned and managed Watermark.

Plaintiff also alleges that he was a defendant in two underlying cases referred to as the “Buddenberg” and “Molina/Song” cases, wherein Defendants breached their duty to defend and indemnify Plaintiff, in two cases brought against Target and Watermark by Plaintiffs’ Molina and Song.

Additionally, Plaintiff asserts claims as a consumer of Target’s services and products based on injuries sustained when he was subjected to an unsafe and hostile environment.

On January 2, 2026, after taking the matter under submission, the Court sustained Target’s demurrer to the first amended complaint and granted the motion to strike without leave to amend. The Court ordered Target’s dismissal with prejudice on February 6, 2026.

II.

ARGUMENTS

Watermark, McBride, and Moody (collectively “Watermark”) challenge all 18 causes of action first on grounds that some claims arising from the Molina/Song and Buddenburg actions are barred by claim preclusion since Watermark was a party to both actions and the cases were dismissed. Watermark independently challenges all 18 causes of action for failure to state a claim.

Plaintiff argues the motion is untimely because it was filed after the FSC and trial dates. Defendant obtained ex parte relief on July 7, 2026, and the covering judge vacated the FSC and trial dates. Plaintiff renews his objections to that procedure and requests that the July 7 order be vacated. Plaintiff argues that claim preclusion does not bar any of his claims, and each of the 18 causes of action are adequately alleged.

III.

LEGAL

STANDARDS

A

motion for judgment on the pleadings performs the same function as a general

demurrer and attacks only defects disclosed on the face of the pleadings or by matters subject to judicial notice. (Burnett v. Chimney Sweep (2004) 123 Cal.App.4th 1057, 1065 [“a motion for judgment on the pleadings, like a demurrer, raises only questions of law”].)

For

purposes of this motion, all properly alleged material facts are deemed true as well as all facts that may be implied or inferred from those expressly alleged. (Fire Ins. Exchange v. Superior Court (2004) 116 Cal.App.4th 446, 452.)

IV.

DISCUSSION

A. Timeliness of the Motion for Judgment on the Pleadings

Plaintiff

is correct that a statutory motion for judgment on the pleadings must be made 30 days before the initial trial date. (Cal. Code Civ. Procedure § § 438.) As Defendant's reply makes clear, however, a non-statutory motion may be brought at any time, before trial, or even during trial. (Stoops v. Abbassi (2002) 100 Cal.App.4th 644, 650; Saltarelli & Steponovich v. Douglas (1995) 40 Cal.App.4th 1, 5 [a nonstatutory motion may be granted when the complaint fails to state facts sufficient to constitute a cause of action."].)

Accordingly, this motion is properly before the Court. The order granting Defendants' ex parte relief on July 7, 2026, is not relevant to the timing of this motion.

B. Effect of the Molina/Song Judgment

In

its primary aspect, res judicata, or “claim preclusion” prevents relitigation of the same cause of action in a second suit between the same parties or their privities where the claim was finally litigated. (DKN Holdings LLC v. Faerber (2015) 61 Cal.4th 813, 824.) Under the res judicata doctrine, if a plaintiff prevails in an action, the cause is merged into the judgment and may not be asserted in a subsequent lawsuit; a judgment for the defendant serves as a bar to further litigation of the same cause of action.” (Mycogen Corp. v. Monsanto Co. (2002) 28 Cal.4th 888, 896–897.)

Res

judicata would bar Molina/Song's claims in a subsequent action against Watermark, but not Plaintiff's claims here.

Res judicata does not apply because Plaintiff was not a party in the Molina/Song actions. He did not assert the claims alleged here in the Molina/Song actions.

C. Indemnity

Claim Based on Molina/Song

Although

the Molina/Song judgment does not preclude Plaintiff's claims, the third cause of action separately fails to state a claim for equitable indemnity. Plaintiff alleges Defendants were required to defend and indemnify him in Molina/Song and that he incurred costs, expenses, and attorney's fees. (FAC ¶ 71.) But Plaintiff also alleges he was not a named defendant; he incurred costs only because he attended a deposition. (FAC 6:4.)

No claims

were alleged against Plaintiff in Molina/Song that required defense or indemnification. Labor Code section 2802 applies to expenditures incurred as a consequence of an employee's discharge of duties or obedience to the employer's directions. Plaintiff's participation as a deposition witness was not in discharge of his security-guard duties.

D. Claim

Preclusion Based on Espinoza I

Watermark

next argues that Plaintiff's claims are barred because he could have asserted these claims in Case No. 23STCV19129 (Espinoza I) which arose from the same Franklin attack. The third amended complaint in Espinoza I alleged claims against Defendants, Target Corporation and Universal Protection Service, LP among others for intentional infliction of emotional distress, negligence, and assault. The Espinoza I TAC asserts Plaintiff was an employee of Watermark Security Group, "which is not a party to this complaint at the present time." (Espinoza I TAC ¶ 1.) Watermark's reply argues it does not need to have been a named Defendant in Espinoza I for claim preclusion to apply. [1] because of privity and the primary rights doctrine.

Plaintiff

alleged employment violations of FEHA against BOTH Target and Watermark in the 13th through 16th causes of action alleging FEHA and Labor Code violations for discrimination, harassment. Plaintiff alleges both Watermark and Target refused to permit Plaintiff to continue working at Target and discriminated against him. (FAC ¶ 127.)

The

Court granted Target's motion with respect to these claims because they were based on the same facts, namely the Franklin attack and Target's refusal to hire Plaintiff subsequent to those attacks. The FAC establishes that the FEHA claim against Target grew out of Target's alleged treatment of Plaintiff as a result of the alleged disabilities caused by the attack.

Watermark

contends it was in privity with Target for purposes of Plaintiff's specific FEHA and Labor Code claims asserted here in Espinoza II. "Privity" according to Defendant's case authority is explained as follows:

"As

applied to questions of preclusion, privity requires the sharing of 'an identity or community of interest,' with 'adequate representation' of that interest in the first suit, and circumstances such that the nonparty 'should reasonably have expected to be bound' by the first suit. [Citation.] A nonparty alleged to be in privity must have an interest so similar to the party's interest that the party acted as the nonparty's 'virtual representative' in the first action.' (Castillo v. Glenair, Inc. (2018) 23 Cal.App.5th 262, 276–277, 232 Cal.Rptr.3d 844.) 'Put another way, privity, 'as used in the context of res judicata or collateral estoppel, does not embrace relationships between persons or entities, but rather it deals with a person's relationship to the subject matter of the litigation.'" (Atwell v. City of Rohnert Park (2018) 27 Cal.App.5th 692, 703.)

A cause of action is comprised of a primary right, a corresponding duty, and a wrongful act in breach of that duty. (Franceschi v. Franchise Tax Bd. (2016) 1 Cal.App.5th 247, 258 ["The most salient characteristic of a primary right is that it is indivisible: the violation of a single primary right gives rise to but a single cause of action."].) One injury gives rise to only one claim for relief, although there may be many forms of

relief. (Id.) In other words, '[e]ven where there are multiple legal theories upon which recovery might be predicated, one injury gives rise to only one claim for relief.'" (Id.)

Watermark has established privity with Target as to the claims arising from the Franklin attack. Watermark and Target share the same interest in defeating claims based on the attack and the alleged refusal to employ Plaintiff because of resulting disabilities. Those interests are sufficiently aligned that Target acted as Watermark's virtual representative in *Espinoza I*. (Atwell at 703.) Because the claims seek redress for the same alleged injury, they implicate the same primary right.

Accordingly, the following causes of action assert the same primary right and are subject to claim preclusion. Although pleaded under different legal theories, each seeks redress for the same alleged injury: Plaintiff's exposure to, and resulting injury from, the attack:

6th Cause of Action – Negligence. Plaintiff alleges that Defendants failed to protect Plaintiff and thereby allowed Plaintiff to be victimized by the attack.

7th Cause of Action – Assault. This claim arises directly from the attack and seeks recovery for the resulting injury.

8th Cause of Action – Violation of Civil Code section 52.1. Plaintiff alleges that Defendants violated Plaintiff's constitutional rights by permitting dangerous conditions on the premises and allowing Plaintiff to be victimized and threatened with unreasonable and unconsented-to force. (FAC ¶¶ 87, 98.)

13th, 14th, and 15th Causes of Action – FEHA Claims. These claims allege discrimination and harassment arising from the same underlying events and seek recovery for injuries associated with the attack.

16th Cause of Action – Workplace Dangers. This claim rests on allegations that Defendants exposed Plaintiff to workplace dangers arising from the attack.

The remaining causes of action assert different primary rights and are not barred by claim preclusion. Their sufficiency is addressed below.

E. Sufficiency of the Individual Causes of Action

1. First Cause of Action – Indemnity in Buddenberg. Denied.

As a threshold matter, this argument relates to indemnity in the Buddenberg action, which is the subject of the first cause of action for indemnity (not the third cause of action which relates to Molina/Song). Plaintiff alleges that Watermark was obligated to defend and indemnify Plaintiff and failed to do so in violation of Labor Code § 2802. The Buddenberg plaintiff filed an action against Espinoza and others for physically attacking and assaulting Buddenberg on October 18, 2022. (RJN, Ex. 4, ¶2, ¶ 6.)

Plaintiff

filed a first amended cross-complaint against Target in the Buddenberg action alleging total and equitable indemnity as a first cause of action. (RJN, Ex. 4.) Espinoza alleges that if he is found to have contributed to Buddenberg's injuries, then Cross-Defendants are liable in proportion to their liability. (RJN, Ex. 4 ¶ 43.) As cross-complainant, Plaintiff alleges that Target and others should be required to defend, indemnify, and hold Plaintiff harmless. (Id. at ¶ 44.)

Watermark

argues Plaintiff did not allege a factual basis for a duty owed to indemnify Plaintiff and Plaintiff does not allege damages with specificity. The Buddenberg action settled.

Labor Code section 2802 requires an employer to indemnify an employee for necessary expenditures or losses incurred in direct consequence of the discharge of the employee's duties or obedience to the employer's directions. Buddenberg alleged that Espinoza, acting as a security guard, assaulted him on October 18, 2022. Plaintiff therefore alleges that Watermark was required to defend, indemnify, and hold him harmless from the resulting claims and defense costs. (FAC ¶ 62.)

The

claim is adequately alleged. Defendant's contention that it did not have a duty to file the cross-complaint on Espinoza's behalf in Buddenberg is a legal conclusion.

2. Second Cause of Action – Interference with Prospective Economic

Advantage. GRANTED.

To

prevail on a claim for intentional interference with prospective economic advantage, plaintiff must prove "(1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant's action." (Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc. (2017) 2 Cal.5th 505, 512.) Additionally, the plaintiff must show that that defendant's conduct was "wrongful by some legal measure other than the fact of interference itself." (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 266 Cal.Rptr.3d 665.) An act is independently wrongful if it is unlawful, ie., "it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (Id. at 1142.)

Plaintiff

argues that the independently unlawful conduct was Watermark's demand that Plaintiff waive his right to recover defense costs and damages incurred in Buddenberg. Plaintiff argues the interference with Plaintiff's ability to obtain reimbursement and recovery

in connection with the Buddenberg litigation and Cross-Complaint and alleges that Defendants

conditioned settlement on dismissal of Plaintiff's Cross-Complaint. This is not a relationship with a third person. What Plaintiff appears to be alleging is that Defendant interfered with his statutory right to indemnification under the Labor Code. The alleged facts do not support the claim.

3. Third Cause of Action – Equitable Indemnity in Molina/Song.
GRANTED.

For the reasons stated in Section IV.C, the third cause of action fails to state a claim for equitable indemnity.

4. Fourth Cause of Action – Violation of Labor Code Section 1102.5.
DENIED.

This

code section bars retaliation against an employee for disclosing information that an employer violated a state or federal statute. (Lab. Code, § 1102.5.)

This is known as the so-called whistleblower statute that prohibits an employer's retaliation for disclosing information to parties "if the employee has reasonable cause to believe that the information discloses a violation of state or federal statute, or a violation of or noncompliance with a local, state, or federal rule or regulation, regardless of whether disclosing the information is part of the employee's job duties." (§ 1102.5, subd. (b).) Subdivision (c) prohibits retaliation against an employee "for refusing to participate in an activity that would result in a violation of state or federal statute, or a violation of or noncompliance with a local, state, or federal rule or regulation." (*Nejadian v. County of Los Angeles* (2019) 40 Cal.App.5th 703, 718.)

Defendant

contends Plaintiff must specifically allege that statutes, rules, or regulations allegedly violated. There is no legal basis cited for this requirement. Plaintiff alleges that he testified truthfully in *Molina/Song* about Defendants' misconduct and provided a declaration that was used in the cases that Defendants were responsible for dangerous conduct that deprived him of workplace safety. (FAC ¶ 128.R.) Plaintiff subsequently alleges he was terminated after Defendant received that information.

This

claim is adequately alleged.

5. Fifth Cause of Action – Intentional Infliction of Emotional Distress. DENIED.

To

prevail on this claim, plaintiff must allege facts showing (1) extreme and outrageous conduct with the intention of causing, or reckless disregard of the probability of causing emotional distress, and (2) plaintiff suffered severe or extreme emotional distress as a proximate result. (*Christensen v. Superior Court* (1991) 54 Cal.3d 868, 903.)

Conduct

is "extreme and outrageous" where a defendant (1) abuses a relation or position which gives him power to damage the plaintiff's interest; (2) knows the

plaintiff is susceptible to injuries through mental distress; or (3) acts intentionally or unreasonably with the recognition that the acts are likely to result in illness through mental distress." (Agarwal v. Johnson (1979) 25 Cal.3d 932, 946.) If the court concludes that reasonable minds may differ as to whether the conduct rises to the level of "extreme and outrageous conduct," then "it is for the jury, subject to the control for the court, to determine whether, in the particular case, the conduct has been sufficiently extreme and outrageous to result in liability." (Alcorn v. Anbro Engineering, Inc. (1970) 2 Cal.3d 493, 499.)

To the extent bases this claim on emotional distress suffered arising from the whistle-blower claim, the allegations are sufficient.

6. Sixth Through Eighth Causes of Action. GRANTED.

As discussed above, the sixth through eighth causes of action are barred by claim preclusion because they seek redress for the same primary right adjudicated in Espinoza I. Defendant also asserts that these claims are barred by workers' compensation exclusivity. Plaintiff invokes the fraudulent-concealment exception under Labor Code section 3602(b)(2). The Court need not resolve that additional issue because the claims are independently barred by claim preclusion.

7. Ninth Cause of Action – Violation of Business and Professions Code Section 17200. DENIED.

Defendants argue this is uncertain because Plaintiff did not specify which prong of what statute Plaintiff relies upon to support the "unlawful conduct."

As defined by statute, "unfair competition" includes "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code, § 17200). Its purpose is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services." (Gutierrez v. Carmax Auto Superstores California (2018) 19 Cal.App.5th 1234, 1265).

The UCL is stated in the disjunctive; a plaintiff need allege only an unlawful, unfair, or fraudulent practice. A practice may be unfair or deceptive even if it is not independently unlawful. (Cel-Tech Communications, Inc. v. Los

Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 180.) Section 17200 also borrows violations of other laws and treats them as unlawful practices, while permitting a practice to be deemed unfair even if no other law specifically proscribes it. (Id. at 180–181.)

Plaintiff has alleged violations under the Labor Code that survive the motion and support the “unlawful” practice required in a UCL claim.

8. Tenth Cause of Action – Breach of Express and Implied Contract.
DENIED.

Defendant argues that the allegation that “Defendants expressly promised Plaintiff’s employment would continue as long as he performed satisfactorily and obeyed all reasonable and lawful directions, rules and regulations of his employment” is devoid of specificity to support the existence of a contractual misunderstanding regarding defense, indemnity or any other specific contractual term.

However, Plaintiff alleges that an oral contract existed pursuant to which Plaintiff agreed to work for Defendant WATERMARK and Defendant WATERMARK agreed to treat Plaintiff fairly, to provide a safe workplace and not to terminate him without good cause.” (FAC ¶ 105.) Defendant ignores these allegations and requests specificity with regard to any agreement to indemnify, which is not implicated in this cause of action.

9. Eleventh Cause of Action – Breach of the Implied Covenant of Good Faith and Fair Dealing. GRANTED.

Defendant argues that this “rehashes” the same verbal contract alleged in the 10th cause of action. Defendant contends this is superfluous as it seeks damages and other relief already claimed in a companion contract cause of action.

The prerequisite for any action for breach of the implied covenant of good faith and fair dealing is the existence of a contractual relationship between the parties, since the covenant is an implied term in the contract.” (Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49.)

To prevail on a claim for breach of the implied covenant of good faith and fair dealing, the plaintiff must first establish “the existence of a contractual relationship between the parties, since the covenant is an implied term in the contract. Secondly, benefits due under the contract must have been withheld, and the reason for withholding benefits must have been unreasonable or without proper cause. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151.)

This claim is not “superfluous” of the contract claim because it seeks tort damages for the alleged unreasonable withholding of contract benefits. However, Defendant is correct that tort damages in a non-insurance contract are not recoverable. (Cates Construction, Inc. v. Talbot Partners (1999) 21 Cal.4th 28, 43–44 (“In the insurance policy setting, an insured may recover damages not otherwise available in a contract action, such as emotional distress damages resulting from the insurer’s bad faith conduct. ... “At present, this court recognizes only one exception to that general rule: tort remedies are available for a breach of the covenant in cases involving insurance policies.”].)

10. Twelfth Cause of Action – Wrongful Termination in Violation of Public Policy. DENIED.

This claim asserts multiple bases. Defendant essentially argues that Plaintiff did not allege the statute which supports the policy allegedly violated. To allege a claim for wrongful termination in violation of public policy, Plaintiff must allege facts to support the following elements: (1) the employee engaged in a protected activity; (2) the employer subjected the employee to an adverse employment action, and (3) a causal link existed between the protected activity and the employer’s action. (Loggins v. Kaiser Permanente Internat. (2007) 151 Cal.App.4th 1102, 1109.) The type of public policy at issue “must involve a matter that affects society at large rather than a purely personal or proprietary interest of the plaintiff or employer and must be not only ‘fundamental’ and ‘substantial,’ but also ‘well established’ at the time of the discharge.” (Stevenson v. Superior Court (1997) 16 Cal.4th 880, 889.) There are four categories of protected employee conduct: “(1) refusing to violate a statute [citations]; (2) performing a statutory obligation [citation]; (3) exercising a statutory right or privilege [citation]; and (4) reporting an alleged violation of a statute of public importance [citations].” (Id.) The public policy supporting a wrongful

discharge claim must be supported by either constitutional or statutory provisions, and it must inure to the public's benefit. (Id. at 890.)

This claim arises in part based on Defendant's firing of Plaintiff because he gave testimony in Molina/Song and is proper to that extent. Demurrer does not lie to a part of a cause of action. (Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1047 ["a demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy."].)

11. Thirteenth Through Sixteenth Causes of Action – FEHA Disability Discrimination. GRANTED.

The Court previously discussed why these claims are precluded by the primary rights doctrine and privity.

12. Seventeenth Cause of Action – Violation of Labor Code Section 232.5. DENIED.

This statute prohibits an employer to restrict an employee from disclosing information about the employer's working conditions. Defendant argues that Plaintiff failed to identify what third party Plaintiff made any disclosure to. Plaintiff allegedly testified in the Molina/Song action.

This claim is adequately supported. Plaintiff alleges he was retaliated against by termination from employment for giving this testimony.

13. Eighteenth Cause of Action – Violation of Labor Code Section 1198.5. DENIED.

This claim asserts Defendant failed to give Plaintiff his personnel and wage records in violation of the Labor Code. Defendant argues that Plaintiff did not plead statutory requirements that he submitted a request that was either: (i) written and submitted by the current or former employee or his or her representative; or (ii) written and submitted by the current or former employee or his or her representative by completing an employer-provided form. The statute does not mention "employer provided forms." The statute only requires a written request and does not specify what particular forms are required.

V. CONCLUSION

Based on the foregoing,

Defendants' motion for judgment on the pleadings is GRANTED IN PART and DENIED IN PART. The motion is GRANTED as to the 6th, 7th, 8th, 13th, 14th, 15th, and 16th causes of action on grounds of claim preclusion, privity, and the primary-right doctrine. The motion is also GRANTED for failure to state a claim as to the 2nd cause of action for interference with prospective economic advantage; 3rd cause of action for equitable indemnity arising from Molina/Song; and 11th cause of action for breach of the implied covenant of good faith and fair dealing. In all other respects, including as to the 1st, 4th, 5th, 9th, 10th, 12th, 17th, and 18th causes of action, the motion is DENIED.

[1]

Confusingly, Watermark asserts in its motion that it "was substituted in as a Doe Defendant, [and] like Target, was therefore itself a named defendant in Espinoza I." (Mot. 28:24-25.) Watermark does not submit a copy of the Doe Amendment in Espinoza I, and the Court's case file does not reflect that Watermark was a party in that action.